

25STCV36836 25STCV36836

County: los-angeles

Division: Civil Law and Motion

Department: 12

Hearing date: 2026-07-16

Source URL: https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=SS%20%2C12%2C07%2F16%2F2026

Source SHA-256: 0b3bfefe5861a7c7379034e4c57453862442d5d7c501a17dc31520116dd396b1

Case Number: 25STCV36836 Hearing Date: July 16, 2026 Dept: 12

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES

Choi v. Cartier, Inc.

25STCV36836

Dept. 12 SSC

Hon. Carolyn B. Kuhl

Date of Hearing: July 16, 2026

Defendant Richemont North American, Inc.'s Motion to Compel Arbitration, Strike Class Claims, and Stay or Dismiss the Action Pending the Outcome of the Arbitration

Tentative Ruling: The Motion is granted. The court (1) compels arbitration of Plaintiff's individual claims, (2) dismisses the class claims, and (3) stays the non-individual PAGA claims pending the arbitral proceedings.

Plaintiff filed this putative class action on December 16, 2025, alleging causes of action based on alleged violations of the Labor Code, including a PAGA cause of action.

Defendant now moves pursuant to the Federal Arbitration Act (FAA) for an order: (1) compelling Plaintiff's individual claims to arbitration; (2) striking Plaintiff's class allegations; and (3) dismissing or, in the alternative, staying the non-individual PAGA claims pending completion of arbitration.

The Motion is based on an arbitration agreement electronically signed by Plaintiff on November 23, 2021 (Agreement). (Holmes Decl., Ex. B.) The Agreement was signed the same day Plaintiff signed a separate confidentiality agreement (Confidentiality Agreement). (Holmes Decl., Ex. A.) Under the Agreement, Plaintiff and Defendant agreed "to utilize binding individual arbitration to resolve all disputes that might arise out of or be related in any way to [Plaintiff's] employment"

(Homes Decl., Ex. B, at p. 5.) The Agreement includes a class and representative action waiver. (Holmes Decl., Ex. B, at p. 5.)

Plaintiff does not dispute: (1) that Defendant has met its burden to show that Plaintiff signed the Agreement; (2) that the Agreement is governed by the FAA; (3) that the Agreement, if valid, would require arbitration of Plaintiff's individual claims, dismissal of the class claims, and a stay of the non-individual PAGA claims. That said, Plaintiff might be understood to argue that the class claims cannot be dismissed at this stage of the litigation. (See Pl's Opp., at p. 19.) In an Opposition that improperly exceeds the 15-page limit (Cal. Rules of Court, rule 3.1113(d)), Plaintiff argues that the Agreement is unenforceable on grounds of unconscionability.

The Agreement is not Unenforceable on Grounds of Unconscionability

Both procedural and substantive unconscionability must be shown by Plaintiff for the defense of unconscionability to be established. (OTO, L.L.C. v. Kho (2019) 8 Cal.5th 111, 125.)

2

Here, Plaintiff has demonstrated the presence of at least some level of procedural unconscionability, given that the Agreement, offered on a take-it-or-leave-it basis in connection with Plaintiffs' employment, and without an opportunity to negotiate, is a contract of adhesion. "Ordinary contracts of adhesion, although they are indispensable facts of modern life that are generally enforced ..., contain a degree of procedural unconscionability even without any notable surprises, and bear within them the clear danger of oppression and overreaching." (Ramirez v. Charter Communications, Inc. (2024) 16 Cal.5th 478, 494 (Ramirez), internal citations and quotation marks omitted.)

Plaintiff argues that the Agreement contains a higher level of procedural unconscionability because it "states that claims may be filed with JAMS, AAA, another similar service mutually agreed upon, or 'such other dispute resolution organization as may later be designated under this Program.' " (Pl's Opp., at p. 18, citing the declaration of Plaintiff's counsel.) Plaintiff argues that this provision creates "uncertainty" as to the rules that will govern arbitration. However, the Agreement is clear as to the applicable rules:

The arbitrator shall follow and observe the Federal Rules of Civil Procedure and the Federal Rules of Evidence, and all rules of pleading (including the right to file a Motion to Dismiss), all rules of evidence, all rights to resolution of the dispute by means of motions for summary judgment, judgment on the pleadings, and directed judgment or non-suit shall apply and be observed. To the extent a state law provides for more discovery than otherwise permitted under the Federal Rules of Civil Procedure, these additional rights shall be provided to all parties in the arbitration.

(Holmes Decl., Ex. B, at p. 6.) Moreover, Plaintiff has failed to show how allowing Plaintiff to determine for herself whether to file her claims with "JAMS" or "AAA" would create any unconscionable surprise.

Plaintiff also argues that the Confidentiality Agreement's choice-of-law and forum-selection clause renders the Agreement procedurally unconscionable. Plaintiff claims that "Defendant cannot credibly argue that Plaintiff knowingly and voluntarily accepted a clear arbitration procedure when another required onboarding document directed disputes to New York courts and New York law." (Pl's Opp., at p. 15.) Plaintiff fails to cite any authority supporting the proposition that it is procedurally unconscionable to require arbitration for most disputes while specifying that certain other disputes are to be resolved in a court of law. Plaintiff's argument regarding the Confidentiality Agreement's choice-of-law and forum-selection clause is better understood as an argument regarding substantive unconscionability. (See, e.g., Pl's Opp., at pp. 14-15.)

Because Plaintiff has shown a low level of procedural unconscionability, Plaintiff has the burden of showing that a significant level of procedural unconscionability justifies a holding that the Agreement is unenforceable. (See, e.g., Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114 (Armendariz) ["[e]ssentially a sliding scale is invoked

which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves"], internal citations and quotation marks omitted.)

Plaintiff first argues that the Agreement is substantively unconscionable because it requires Plaintiff to bear arbitration-specific costs. “[W]hen an employer imposes mandatory arbitration as a condition of employment, the arbitration agreement or arbitration process cannot generally require the employee to bear any type of expense that the employee would not be required to bear if he or she were free to bring the action in court.” (Id. at pp. 110-111, emphasis in original.) Here, the Agreement does not require Plaintiff to bear any type of expense that she would not be required to bear if her claims were litigated in this court. The Agreement is clear that Defendant “will pay the arbitrator’s fees and other costs relating to the arbitration forum if required under state law” (Holmes Decl., Ex. B, at p. 6.) Because Defendant is required to pay such costs under California law, this provision of the Agreement is not unconscionable.

Second, Plaintiff argues that the Agreement is substantively unconscionable because it would somehow prevent the arbitrator from awarding attorney’s fees to Plaintiff under the Labor Code’s fee-shifting statutes. This argument must be rejected. The Agreement states: “[Defendant] and [Plaintiff] will be responsible for [their] costs and for [their] attorneys’ fees should [they] choose to be represented by counsel, unless the arbitrator shifts one party’s costs and attorneys’ fees to the other party in accordance with applicable law.” (Holmes Decl., Ex. B, at p. 6, emphasis added.) This provision of the Agreement is not unconscionable; it merely provides a statement of California law: namely, that are parties generally responsible for their own attorneys’ fees unless applicable law allows for fee shifting.

Third, Plaintiff argues that the Agreement lacks mutuality because it allows both parties to seek injunctive relief in court. The Agreement excepts certain types of claims from arbitration, including “claims seeking an injunction such as claims to enforce confidentiality, non-solicitation and non-compete agreements” (Holmes Decl., Ex. B, at p. 5.) Plaintiff incorrectly interprets this provision as stating “that Defendant could still go to court for certain claims while Plaintiff would be required to arbitrate wage-and-hour claims.” (Pl’s Opp., at p. 18.) The language applies to all claims by either Defendant or Plaintiff “seeking an injunction.” The provision is therefore mutual. The fact that the Agreement provides certain examples of “claims seeking an injunction” that are the types of claims an employer would be more likely to bring does not mean that the Agreement must be interpreted as only referring to “claims seeking an injunction” brought by Defendant.

Fourth, Plaintiff argues that it is substantively unconscionable for parties to select the federal rules of evidence and civil procedure as governing rules for the arbitration. The only principle cited by Plaintiff in support of this argument is the general principle that “[m]andatory arbitration may not impose [law] that impair[s] an employee’s ability to vindicate statutory rights.” (Pl’s Opp., at p. 18, citing Armendariz, supra, 24 Cal.4th at pp. 103-104 [finding that a damages limitation was substantively unconscionable].) Critically, however, Plaintiff fails to show how application of the federal rules of evidence and civil procedure would in any way impair Plaintiff’s statutory rights or be “contrary to public policy and unlawful.” (Armendariz, at p. 104.) Moreover, Plaintiff fails to address the fact that the Agreement also states: “[t]o the extent a state law provides for more discovery than otherwise permitted under the Federal Rules of Civil Procedure, these additional rights shall be provided to all parties in the arbitration.” (Holmes Decl., Ex. B, at p. 6.)

Plaintiff has only identified a single substantively unconscionable term in the parties’ contractual relationship: the Confidentiality Agreement’s choice-of-law and forum-selection provision. The Confidentiality Agreement includes the following language in a paragraph entitled “Governing Law and Choice of Forum”:

This Agreement shall be governed and conformed in accordance with the laws of the State of New York without regard to its conflict of laws provisions. The parties being desirous of having any disputes resolved in a forum having a substantial body of law and experience with the matters contained herein, the parties agree that any action or proceeding arising from or relating to this Agreement shall be brought exclusively in the New York State Supreme Court, New York County, or in the United States District court for the Southern District of New York, or in any other court of competent jurisdiction sitting in the state and county of New York, and the parties agree to the personal jurisdiction thereof. The parties hereby irrevocably waive any objection they may now or hereafter have to the laying of venue of any such action in the said court(s), and further irrevocably waive any claim they may now or hereafter have that any such action brought in said court(s) has been brought in an inconvenient forum.

(Holmes Decl., Ex. A, at p. 6.) Defendant does not dispute that this provision, found in the separate Confidentiality Agreement, can affect the unconscionability of the Agreement. (See, e.g., *Alberto v. Cambrian Homecare* (2023) 91 Cal.App.5th 482, 490-491 [construing an arbitration agreement and a separate confidentiality agreement together for the purposes of an unconscionability analysis].) Nor does Defendant meaningfully contest that the provision is unconscionable under California law.

The provision in the Confidentiality Agreement is unenforceable. “An employer shall not require an employee who primarily resides and works in California, as a condition of employment, to agree to a provision that would do either of the following: (1) Require the employee to adjudicate outside of California a claim arising in California[; or] (2) Deprive the employee of the substantive protection of California law with respect to a controversy arising in California.” (Lab. Code, § 925, subd. (a).) Federal district courts “have found that Section 925 expresses California’s strong public policy against forum-selection clauses in employment agreements.” (Aguila v. Becton and Dickinson (N.D. Cal., Sept. 13, 2023, No. 5:22-CV-06670-EJD) 2023 WL 5988601, at *3, internal citations and quotation marks omitted; see also *Sheelit v. AmeriSave Mortgage Corporation* (C.D. Cal. 2024) 754 F.Supp.3d 995, 1012.) Defendant fails to address Labor Code section 925 in its Reply.

However, the Confidentiality Agreement’s choice-of-law and forum-selection provision does not render the entire Agreement unenforceable. A court may decline to sever an unconscionable provision of an arbitration agreement where that agreement is “permeated by unconscionability.” (Ramirez, supra, 16 Cal.5th at p. 513, internal citations and quotation marks omitted.) However, “[t]he strong legislative and judicial preference is to sever the offending term and enforce the balance of the agreement.” (Id., internal citation and quotation marks omitted.)

;

“Courts are to look to the various purposes of the contract. If the central purpose of the contract is tainted with illegality, then the contract as a whole cannot be enforced. If the illegality is collateral to the main purpose of the contract, and the illegal provision can be extirpated from the contract by means of severance or restriction, then such severance and restriction are appropriate.” (Id. at p. 515, internal citations and quotation mark omitted.) A contract is understood to be permeated with illegality when (1) there are multiple offending provisions, and (2) the agreement lacks mutuality. (Id.)

;

“[I]n deciding to enforce a contract, the court must have the capacity to cure the unlawful contract through severance or restriction of the offending clause.” (Id., emphasis in original.) “Even if a contract can be cured, the court should also ask whether the unconscionability should be cured through severance or restriction because the interests of justice would be furthered by such actions. [Citation.] This part of the inquiry focuses on whether mere severance of the unconscionable terms would function to condone an illegal scheme and whether the defects in the agreement indicate that the stronger party engaged in a systematic effort to impose arbitration on the weaker party not simply as an alternative to litigation, but to secure a forum that works to the stronger party’s advantage.” (Id. at pp. 516-517, internal citations omitted; emphasis in original.) “Finally, if the contract contains a severance clause, the court should take it into account as an expression of the parties’ intent that an agreement curable by removing defective terms should otherwise be enforced.” (Id. at p. 517.)

The choice-of-law and forum-selection clause in the Confidentiality Agreement is the only substantively unconscionable term identified by Plaintiff. The clause does not taint the entire Agreement with illegality. The clause can also easily be severed here without the court having to rewrite the Agreement. And finally, the Agreement and the Confidentiality Agreement both contain a severance clause which indicates the parties’ intent to have an offending provision stricken and the balance of the Agreement enforced, in the event the offending provision is deemed unenforceable. (Holmes Decl., Ex. A, at p. 6; Ex. B, at p. 6.)

The Class Action Waiver is Immediately Enforceable

As noted above, Plaintiff might be understood to argue that the class claims cannot be dismissed at this stage of the litigation. (See Pl's Opp., at p. 19.) Plaintiff is incorrect. When, as here, the FAA applies, an arbitration agreement's valid class action waiver is immediately enforceable. (See, e.g., *Vela v. Harbor Rail Services of California, Inc.* (2026) 120 Cal.App.5th 353, 367 [upholding the trial court's order compelling individual arbitration and dismissing the class claims under the arbitration agreement's class action waiver].) Plaintiff cites no authority for the proposition that an arbitration agreement's valid class action waiver should be ignored so that the plaintiff can first file a motion for class certification